



Banks

While not usually equity investors, banks will still assess the stability and growth potential of your business before lending.

PROS

- › **Simple debt agreement** with no say in business operations
- › **You maintain independence** in running your business
- › **Banks adhere** to government-imposed financial regulations

CONS

- › **May require a guarantor** or security against the loan
- › **You need an excellent credit rating** for the best interest rates
- › **You need to provide evidence** of your ability to repay from revenue



Business angels

A wealthy private investor who puts money into a start-up in return for a stake in the business.

PROS

- › **Can provide mentoring** and bring valuable experience
- › **Will make quick decisions** and have cash available
- › **May enhance growth potential** with their vision and contacts

CONS

- › **May wield more control** than you feel comfortable with
- › **You are giving away** a percentage of your future earnings
- › **High expectations** about your performance and the rate of return



Venture capitalists

Professionals who manage pooled funds for investors seeking a return from funding new business growth.

PROS

- › **You do not have to repay the money** (as with business angels)
- › **Can give leadership** and also advise on day-to-day management
- › **Provides opportunities** for collaborating with experts

CONS

- › **When you sell** the business, your share will be less
- › **Board of directors required**, as well as frequent financial reporting
- › **Risk of losing your business** if it fails to perform well enough



Government, local authorities, and charities

National and local government bodies, as well as some charities, may award grants to new ventures (see pp.212-215).

PROS

- › **Grants are essentially free** and do not need to be repaid
- › **Generally easy to access**, with plenty of information online
- › **Helps build credibility** and promote your business

CONS

- › **Often time-consuming** to go through the application process
- › **Plenty of competition** from other businesses for funding
- › **Restrictions and conditions** on how you spend the money

ACCELERATORS AND INCUBATORS

In most countries, two types of programs—accelerators and incubators—exist to support businesses at the start-up stage. Joining either type can encourage lenders to invest in your business.

› **Accelerators** are like intensive study courses, and they are either privately run or publicly funded. Start-up owners apply to join and, if selected, enter for a fixed term, usually 3 to 6 months. During this period, the owner receives a concentrated, rapid education on how to grow their business under the guidance of mentors. Private accelerator programs may also offer to invest in your business.

› **Incubators** are less intensive but still provide education and tactical mentorship. These programs are usually funded by a university or an economic development organization. With a focus on innovation, incubators typically run for a year or more and aim to provide an environment in which an entrepreneur can hone their business model.

“Investors are employees you can never hire. We made sure to pick investors that thought like us.”

Biz Stone, co-founder, Twitter